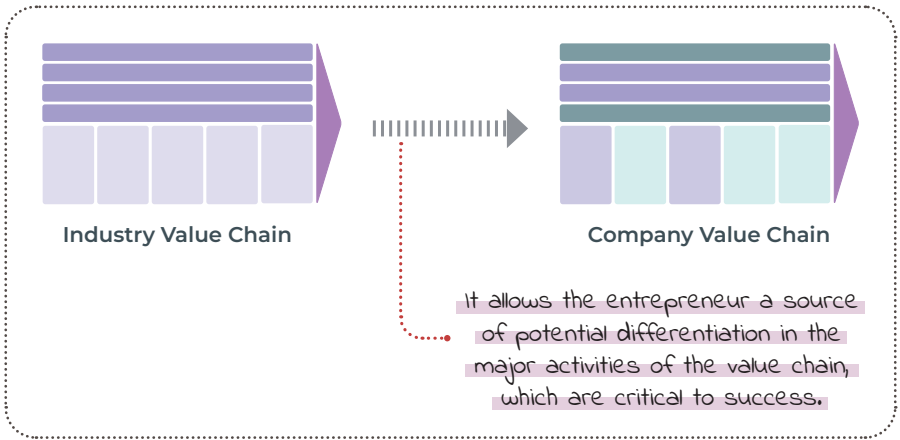
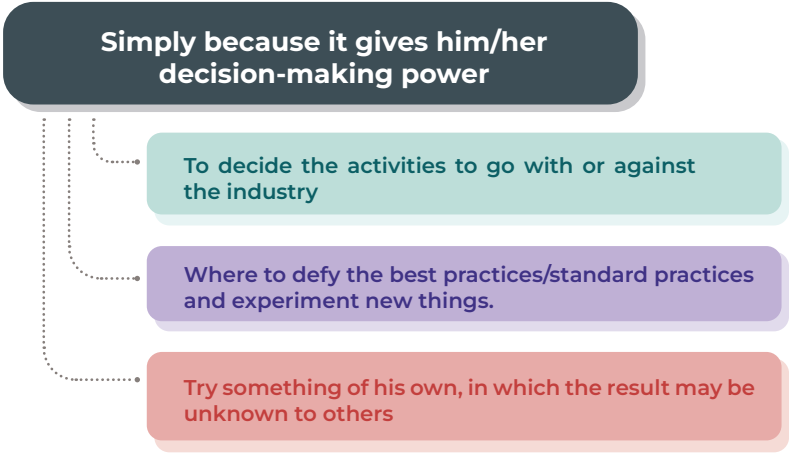


Starting such a business or investing in one that follows all the industry standard practices is a definite way to create a 'me too' business wherein the profitability would always be under threat from direct competition.

So, why should the entrepreneur understand the industry practices?



This can save him/her the hassle of reinventing the wheel for less critical activities in the value chain activities. Firms can stick to industry practices in areas that are less critical for success. This would save them time and effort and also give some predictability of the outcomes and allows them to experiment in areas critical for success.